

Auto Insurance Underwriting Rule Assessment

A Regulatory Evaluation Framework

Important Notes

This document is intended for academic purposes only. The content is not representative of the views, positions, or policies of the Financial Services Regulatory Authority of Ontario (FSRA). All perspectives presented are those of the authors and are intended solely to provide context for educational discussion and analysis.

What Is an Underwriting Rule

In Ontario, and many other provinces in Canada, private insurers are not allowed to decline auto insurance to any consumer, except in circumstances where the insurer has obtained prior approval from the regulator to do so (i.e., FSRA in Ontario). This is based on the ***Take All Comers Rule*** under the Insurance Act, introduced to ensure that mandatory auto insurance remains broadly available to all consumers.

An underwriting decline rule is the right (of an insurer) to decline an insurance policy or a certain coverage based on criteria approved by the regulator. An underwriting decline rule could be considered an approved *exception* to the broad rule of Take All Comers.

Examples of common underwriting decline rules in personal auto insurance:

- Use of personal vehicle for business purposes (consumer needs commercial insurance)
- Part-time use of vehicle for package delivery
- Deny insurance on any rebuilt vehicles
- A pattern of at-fault accidents and tickets over a 3-year period
- A combination of at-fault accidents or tickets over a short period AND cancellations for missed payments
- A previous fraud conviction

Underwriting Rules and Regulatory Context

Underwriting rules are not the same by insurer but there are many similarities between companies. Many underwriting rules tend to stay in place for a long time. However, the regulator still receives regular proposals from insurers to either adjust existing rules or introduce new ones.

If an insurer has an approved underwriting rule, it does not necessarily mean that it will be permitted in perpetuity. In addition, if an insurer proposes an underwriting rule that already exists with another insurer, it does not necessarily mean that their proposal will be approved, but it is a consideration in the decision-making process.

Underwriting rules also exist to establish eligibility criteria for optional coverages or coverage limits. These rules allow an insurer to decline to offer optional coverages or certain coverage limits to consumers that do not meet the approved criteria.

Evolving market dynamics and/or public policy objectives may cause a regulator to make changes to regulatory rules and guidance with respect to various industry practices, including underwriting rules. This means that underwriting practices (or rules) in place in the past may or may not be allowed in the future.

An example of this would be FSRA's newly introduced principles and fair consumer outcomes that establish a higher standard for consumer fairness across the industry.

How Do We Know If an Underwriting Rule Should Be Approved?

Key Question	Evaluation	Example of Non-Compliant Rule
<i>Is it compliant with all existing regulatory legislation and regulations?</i>	Check against all legislation/regulations (see links) Check against the Human Rights Code and the Canadian Charter of Rights and Freedoms	Deny insurance on the basis that someone has never had insurance before
<i>Is it aligned with the regulator's principles and fair consumer outcomes?</i>	Interpretation of the principles and fair consumer outcomes listed in the appendix	Deny insurance to anyone with a vehicle that is one of the top three most stolen vehicles in Ontario
<i>Is it subjective?</i> <i>Is it arbitrary?</i> <i>Does it have a direct relationship with the risk?</i> <i>Does it conflict with public policy priorities?</i>	Do they have actuarial data or analysis? How did they define the rule? Can they demonstrate a clear link to driver behaviour or claims exposure? Does it feel like the right thing to do? Why or why not?	Deny insurance to people who drive red cars on the basis that they are likely to drive faster Deny insurance to someone accused of a crime they were not convicted of Deny insurance to someone who changed insurers more than two times in 10 years
<i>Does the rule exist already with another insurer?</i>	Check current list for same or very similar in terms of language and/or intent	Usually if a rule already exists and is not problematic, it will be approved for another insurer with supporting analysis. However, upon re-evaluation of current conditions and guidance, the same rule may be declined.

Why the Regulator May Reject Proposed Rules

Not Risk-Relevant

The proposed rule is not based on any characteristic of the insured that is relevant to the risk

Vague Language

The vagueness and ambiguity of the language used in the rule might invite a multiplicity of interpretations

Copypat Rule

The rule might inappropriately refer to the actions of another insurer

Human Rights Violation

Any grounds which transgress the Human Rights Code and the Canadian Charter of Rights and Freedoms

Contrary to Legislation

The rule is contrary to current legislation such as the Insurance Act, UDAP, or published FSRA guidance

Discriminatory Impact

The rule may decline newly licensed drivers or drivers "new" to Canada

What's in Scope for This Project



IN SCOPE

Underwriting decline rules – Right to decline to offer an auto insurance policy to a consumer



OUT OF SCOPE

Underwriting eligibility rules – criteria to be eligible for certain optional coverages or coverage limits; if the consumer does not meet the eligibility criteria, the insurer has the right to decline

Basic and Stretch Project Scope

Scoping Level	Evaluation	Result Expected
Required: Level 1 Basic Compliance	Test against the Acts, existing legislation, regulation, guidance Human Rights Code and the Canadian Charter of Rights and Freedoms Does the underwriting rule already exist in the market?	If not compliant, make reference to relevant sections of the Acts, FSRA regulations and/or guidance If the rule already exists, reference that rule by another insurer and when it was approved (i.e. year)
Stretch: Level 2 Interpretation of Principles and Fair Consumer Outcomes	Test against interpretation of the principles and fair consumer outcomes listed in the appendix of this slide deck	Indicate or list any problematic aspects of the proposal as it relates to the principles and fair consumer outcomes What about the proposal does not seem appropriate? Explain/analyze.
Stretch: Level 3 Check to Ensure the Risk Is Not Subjective, Arbitrary and Has a Direct Relationship with the Risk	Do they have any actuarial data or analysis to support their proposal? How did they define the rule? What was it informed by? Can they demonstrate a clear link to driver behaviour or claims exposure?	Deny insurance to people who drive red cars on the basis that they are likely to drive faster Deny insurance to someone accused of a crime they were not convicted of Deny insurance to someone who changed insurers more than two times in 10 years
Stretch: Level 4 Public Policy Filter	As a government agency tasked with the responsibility of protecting consumers and ensuring fair treatment, is there anything about this proposal that does not seem appropriate?	Yes, no, or maybe. Why or why not? The tool should explain/analyze.

Rather than a yes/no recommendation, students may consider weighting and scoring these factors as the tool will be used to inform decisions; final decisions will be made by humans but the tool is intended to save time so the humans can make better decisions, faster. Keep in mind that Level 1 non-compliance is likely to be a full-stop refusal.

Appendix

Principles and Fair Consumer Outcomes

Principle	Fairness Outcomes
Accurate Pricing and Underwriting	Premiums and coverages closely reflect consumers' individual risk profile. Risk profiles are determined by driving behavior, experience, driving distance, location, vehicle, and other relevant risk factors.
Absence of Unfair Discrimination, Bias, or Proxies	Rating and underwriting practices are free from unfair discrimination and bias. Decisions are not directly or indirectly influenced by protected grounds under the Ontario Human Rights Code. Criteria are not used that are direct or indirect proxies for protected or prohibited variables.
Accessible Products and Coverages	Rating and underwriting practices balance pricing accuracy with accessibility and suitability. Decisions would not unfairly impact the ability of consumers to access critical auto insurance coverages.
Cost Mitigation	Insurers prevent unnecessary and excessive costs from being passed onto consumers.
Balanced Profitability and Consumer Interests	Insurers balance their needs for sustainable growth and profitability with fair treatment of consumers. Premiums are based on reasonable profit assumptions.
Clear Consumer Communications	Communications impacting policyholder rights are clear and timely. Consumers can access information to understand factors influencing pricing, underwriting and implications for future claims. Communications are delivered through convenient mediums utilizing current technology.

Legislation/Rules/Guidance/Bulletins	Link
Insurance Act, R.S.O. 1990, c. I.8	Insurance Act, R.S.O. 1990, c. I.8 ontario.ca
Motor Vehicle Accident Claims Act, R.S.O. 1990, c. M.41	Motor Vehicle Accident Claims Act, R.S.O. 1990, c. M.41 ontario.ca
Financial Services Regulatory Authority of Ontario Act, 2016, S.O. 2016, c. 37, Sched. 8	Financial Services Regulatory Authority of Ontario Act, 2016, S.O. 2016, c. 37, Sched. 8 ontario.ca
Automobile Insurance Rate Stabilization Act, 2003, S.O. 2003, c. 9	Automobile Insurance Rate Stabilization Act, 2003, S.O. 2003, c. 9 ontario.ca
R.R.O. 1990, Reg. 664: AUTOMOBILE INSURANCE	R.R.O. 1990, Reg. 664 AUTOMOBILE INSURANCE ontario.ca
Compulsory Automobile Insurance Act, R.S.O. 1990, c. C.25	Compulsory Automobile Insurance Act, R.S.O. 1990, c. C.25 ontario.ca
Certificate of Automobile Insurance (Ontario)	https://www.fsrao.ca/media/14981/download
O. Reg. 383/24: STATUTORY ACCIDENT BENEFITS SCHEDULE - EFFECTIVE SEPTEMBER 1, 2010	O. Reg. 383/24 STATUTORY ACCIDENT BENEFITS SCHEDULE - EFFECTIVE SEPTEMBER 1, 2010 ontario.ca
Filing Guidelines for Underwriting Rules	Filing Guidelines for Underwriting Rules
O. Reg. 777/93: STATUTORY CONDITIONS - AUTOMOBILE INSURANCE	O. Reg. 777/93 STATUTORY CONDITIONS - AUTOMOBILE INSURANCE ontario.ca
OAP 1: Ontario Automobile Policy Owner's Policy	https://www.fsrao.ca/media/14931/download
An Administrative Lapse or a Suspension of a Driver's Licence	https://www.fsrao.ca/administrative-lapse-or-suspension-drivers-licence
Compulsory Automobile Insurance Act (CAIA) "Insurance Card"	https://www.fsrao.ca/compulsory-automobile-insurance-act-caia-insurance-card
Automobile Insurance Underwriting Rules and Risk Classification Variables	https://www.fsrao.ca/automobile-insurance-underwriting-rules-and-risk-classification-variables
Facility Association amendment to eligibility rules in the residual market	https://www.fsrao.ca/facility-association-amendment-eligibility-rules-residual-market
Regulation on lapse in automobile insurance coverage	https://www.fsrao.ca/regulation-lapse-automobile-insurance-coverage
Understanding the operation of OPCF 47 - Optional Accident Benefits	https://www.fsrao.ca/understanding-operation-opcf-47-optional-accident-benefits
Private Passenger Automobile Filing Guidelines - Major	https://www.fsrao.ca/private-passenger-automobile-filing-guidelines-major
Technical Notes for Automobile Insurance Rate and Risk Classification Filings	https://www.fsrao.ca/technical-notes-automobile-insurance-rate-and-risk-classification-filings
Other than Private Passenger Automobile Filing Guidelines - Major	https://www.fsrao.ca/other-private-passenger-automobile-filing-guidelines-major
Other than Private Passenger Automobile Filing Guidelines - Minor	https://www.fsrao.ca/other-private-passenger-automobile-filing-guidelines-minor
Filing Guidelines for Underwriting Rules	https://www.fsrao.ca/filing-guidelines-underwriting-rules
Underwriting technical notes	https://www.fsrao.ca/underwriting-technical-notes
Standard Filing	https://www.fsrao.ca/standard-filing
Reporting and resolution of rating and underwriting errors	https://www.fsrao.ca/reporting-and-resolution-rating-and-underwriting-errors
Principles-based Regulation	https://www.fsrao.ca/regulation/guidance/principles-based-regulation
Fair Treatment of Consumers in Insurance	https://www.fsrao.ca/fair-treatment-customers-insurance
Proposed Guidance: Automobile Insurance Rating and Underwriting Supervision Guidance	https://www.fsrao.ca/industry/auto-insurance/regulatory-framework/guidance-auto-insurance/proposed-guidance-automobile-insurance-rating-and-underwriting-supervision-guidance
Take-All-Comers Thematic review report	https://www.fsrao.ca/industry/auto-insurance/publications/take-all-comers-thematic-review-report
Take-All-Comers information for Industry	https://www.fsrao.ca/industry/auto-insurance/take-all-comers-information-industry
Unfair or Deceptive Act or Practices Rule	https://www.fsrao.ca/regulation/rules/insurance-rules/unfair-or-deceptive-acts-or-practices-rule
Ontario private passenger automobile annual review based on industry data	https://www.fsrao.ca/industry/auto-insurance/ontario-private-passenger-automobile-annual-review-based-industry-data
Highway Traffic Act	https://www.ontario.ca/laws/statute/90h08

More Examples of Approved Underwriting Rules

Existing Underwriting Rules

1 or more Criminal Code convictions in the preceding 3 years

2 or more at-fault accidents in the preceding 3 years

2 minor convictions within the preceding 3 years and 2 cancellations for non-payment of premium within the preceding 3 years

1 at-fault accident in the preceding 5 years and 1 minor conviction within the preceding 3 years and 2 cancellations for non-payment of premium within the preceding 3 years

1 or more convictions for auto insurance fraud in the preceding 10 years

Any automobile used for commercial purposes

Used on a racetrack, or in any race, speed test, or competition

Vehicles used for the purpose for which they were not designed

If no driver of the vehicle insured under the contract holds a valid Canadian licence to drive

Vehicles used for police work

Failure to pay any outstanding premiums owed to the insurer or its affiliated companies for the same named insured

Improper class of license or invalid license

Any vehicle modified for speed or used for racing

Any vehicle with unacceptable customizations or modifications

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